

Olympiad Test Paper — Social Science (Class 7) — Paper 3

Chapter 11: From Barter to Money

Paper 3 — (progressively harder)

Subject	Social Science (NCERT Class 7)
Chapter	11 — From Barter to Money
Total Questions	60 (Multiple Choice, single correct)
Maximum Marks	240
Suggested Time	90 minutes

Marking scheme: +4 for each correct answer · -1 for each wrong answer · 0 if unattempted.

Instructions: Each question has four options (A), (B), (C), (D); exactly one is correct. Barter is goods-for-goods with NO money (the instant money appears it is no longer barter); money arrived AFTER barter to cure its problems; and a note's worth comes from trust and Reserve Bank backing, not the paper or any precious metal, while UPI/cards merely move the same rupees electronically rather than creating a new currency. Do not write on this paper — mark answers on your answer sheet.

1. At a village fair, Reena hands a basket of mangoes to a potter and walks away with a clay pot; no coins, notes, cards, or rupee figures are mentioned anywhere in the deal. The single feature that makes this a barter exchange rather than an ordinary purchase is that:

- (A) the exchange happened at a fair instead of inside a shop
- (B) the two items did not have the same weight
- (C) the trade was between a farmer and a craftsperson
- (D) goods were traded directly for other goods, with no money taking part in the deal

2. Three friends describe a deal. Asha says she gave a book and got a pen 'and no money changed hands'. Brij says he gave a book and got change from a 50-rupee note. Cyrus says he scanned a QR code to pay for a pen. Which describes barter, and why?

- (A) Asha's deal, because a good was exchanged straight for another good with no money at any stage
- (B) Brij's deal, because change was handed back in coins
- (C) Cyrus's deal, because no physical cash was touched
- (D) all three, because in each a pen was obtained

3. A shopkeeper insists, 'Every exchange in my shop, even when I let a regular customer pay me later, is just barter.' The best reason this claim is mistaken is that:

- (A) barter specifically means swapping goods for goods with no money, whereas his sales are priced and settled in money
- (B) barter can only ever take place outdoors and never inside a shop
- (C) barter always requires at least three people to take part
- (D) letting a customer pay later automatically makes a deal illegal

4. A weaver wants grain and has cloth to give. He must first find a grain-grower who happens to want cloth at that very moment. The fundamental obstacle this describes is best named as:

- (A) inflation eating away the value of his cloth
- (B) the need for a double coincidence of wants between the two traders
- (C) the cloth being too durable to trade
- (D) a shortage of legal-tender coins in the village

5. In a barter village, a fisherman wants sandals and offers fish, but the sandal-maker dislikes fish and wants firewood instead. The clearest way money would remove this deadlock is that:

- (A) money would force the sandal-maker to start liking fish
- (B) money would make the fish last long enough to swap later
- (C) money would let the fish be divided into smaller pieces
- (D) everyone accepts money, so the fisherman can sell fish to anyone and then buy sandals, without needing the sandal-maker to want fish

6. Which scenario is the PUREST illustration of a failed double coincidence of wants?

- (A) A carpenter who needs medicine offers a stool, but the only doctor in town wants vegetables, not a stool
- (B) A trader cannot decide whether his goat is worth two sacks or three sacks of rice
- (C) A farmer's basket of tomatoes rots before he can find a buyer
- (D) A merchant cannot break his single large cow to pay for one small loaf

7. Two herders argue endlessly because one believes a sheep is worth four baskets of dates while the other insists it is worth seven. The barter limitation on display is:

- (A) the absence of a double coincidence of wants
- (B) there is no common standard measure of value, so worth cannot be agreed
- (C) the sheep being too perishable to keep
- (D) the dates being impossible to carry

8. Why does having a common measure of value make trade far easier than pure barter?

- (A) it makes all goods weigh exactly the same amount
- (B) it forces every trader to want the identical product

- (C) every good can be priced against one agreed unit, so values can be compared instantly without haggling over countless good-for-good ratios
- (D) it allows perishable goods to be stored forever

9. A trader owns one healthy cow worth roughly twenty sacks of rice, but he only needs three sacks. In barter he is stuck because:

- (A) no one in the market wants rice at all
- (B) a live cow cannot be split into a small part to match a small purchase
- (C) the cow's value keeps rising with inflation
- (D) rice is too heavy to be carried home

10. A fruit-seller in a barter economy keeps losing wealth because his only tradable asset is baskets of ripe guavas. The deeper money-related weakness this reveals is that guavas:

- (A) are far too easy to divide into small portions
- (B) lack a double coincidence of wants by their very nature
- (C) are accepted as legal tender everywhere
- (D) are a poor store of value because they rot before he can trade them

11. Money is a far better store of value than a herd of cattle chiefly because money:

- (A) can be eaten during a famine when food runs out
- (B) multiplies on its own the longer it is held
- (C) can plough fields and pull carts when needed
- (D) does not fall sick, age, or die, and can be kept and divided easily over time

12. In several early societies, items such as grain, cattle, salt, and cowrie shells were used as money. The best label for these is:

- (A) commodity money - ordinary useful goods that also served as a means of payment
- (B) fiat money declared valuable purely by government order
- (C) digital money transferred between bank accounts
- (D) legal tender printed and issued by a central bank

13. Which statement about the relationship between barter and money is correct?

- (A) barter came first, and money was later invented to solve the problems barter created
- (B) money existed first, and barter replaced it when coins were lost
- (C) money and barter were invented on the very same day
- (D) barter still has no problems, so money was unnecessary

14. A textbook claims, 'Money has existed since the very beginning of human trade.' The strongest correction is that:

- (A) humans used digital payments long before they used coins
- (B) trade began with barter, and money was developed only later to fix barter's shortcomings

- (C) coins are older than the human beings who made them
- (D) money and barter both appeared only after paper was invented

15. A 200-rupee note is made of cheap paper and ink, yet it can buy goods worth 200 rupees. The best explanation is that:

- (A) people trust the note and the Reserve Bank of India backs it, so it is accepted in payment
- (B) the paper of the note is secretly made of precious metal
- (C) the ink printed on the note is itself worth 200 rupees
- (D) the note's bright colours guarantee its purchasing power

16. Someone argues, 'A banknote is valuable only because the paper it is printed on is precious.' Why is this reasoning flawed?

- (A) the paper really is woven from threads of gold
- (B) the paper is cheap; the note's worth comes from public trust and the Reserve Bank's backing
- (C) the note is worth only the recycling price of its paper
- (D) the value lies in how heavy the note feels in the hand

17. The printed promise 'I promise to pay the bearer the sum of...' on an Indian banknote, signed by the Governor of the Reserve Bank, mainly signals that:

- (A) the note can be exchanged for its weight in gold at any shop
- (B) the bearer must repay that sum to the government later
- (C) the central bank stands behind the note, which is why people trust and accept it
- (D) the paper itself contains that much hidden treasure

18. Two notes are compared: an ancient silver coin valued for its metal, and a modern 500-rupee note valued by trust and law. The note is an example of fiat money because:

- (A) it contains more silver than the ancient coin
- (B) it can be melted down for valuable metal
- (C) its value comes entirely from the cost of printing it
- (D) it has value chiefly because the government declares it legal tender and people trust it, not because of any precious material

19. Buying a samosa by handing over a 10-rupee coin shows money working as a:

- (A) medium of exchange
- (B) store of value
- (C) standard of deferred payment
- (D) common measure of value only

20. Ravi keeps 5,000 rupees in a tin box untouched for two years to use later. In this act, money is serving as a:

- (A) medium of exchange
- (B) store of value
- (C) common measure of value
- (D) standard of deferred payment

21. A shop tags a cricket bat at 1,200 rupees and a ball at 150 rupees so customers can see which costs more and by how much. This use of money is the:

- (A) medium of exchange
- (B) store of value
- (C) common measure of value
- (D) standard of deferred payment

22. A carpenter agrees to be paid 8,000 rupees next month for furniture delivered today. Money here is acting as a:

- (A) medium of exchange paid on the spot
- (B) store of value kept in a box
- (C) common measure of value for comparison
- (D) standard of deferred payment

23. Identify the option in which money performs all of (i) buying a notebook now, (ii) saving for next year, and (iii) pricing goods for comparison - in that order:

- (A) store of value; medium of exchange; standard of deferred payment
- (B) common measure of value; standard of deferred payment; medium of exchange
- (C) standard of deferred payment; common measure of value; store of value
- (D) medium of exchange; store of value; common measure of value

24. Which single situation does NOT show money acting as a medium of exchange?

- (A) handing cash to a vendor to take home vegetables
- (B) tapping a card at a counter to pay for a meal
- (C) writing '50 rupees' on a price tag so buyers can compare two products
- (D) scanning a QR code to pay a bus fare instantly

25. Compared with bartering goats, why does using coins make trade smoother for a herder?

- (A) coins are portable, divisible, durable, and widely accepted, so he can make payments of any size to anyone
- (B) coins reproduce and increase the herd over time
- (C) coins can be fed and kept alive cheaply
- (D) coins force buyers to want goats specifically

26. The ancient stamped silver coins of India, the karshapanas, carried punch marks. The main purpose of stamping such symbols on metal pieces was to:

- (A) make the metal heavier so the coin was worth more
- (B) decorate the coin purely for its beauty
- (C) certify the metal's weight and authenticity so the coin would be trusted and accepted in trade
- (D) turn the metal into paper currency

27. Why is producing standardised coins (minting) an improvement over weighing out loose lumps of metal for each deal?

- (A) minted coins are made of much more valuable metal than lumps
- (B) minted coins of fixed weight and value can be counted quickly and trusted, speeding up every transaction
- (C) minted coins can be eaten in times of famine
- (D) minting removes the need for any common measure of value

28. Coins are usually struck from an alloy rather than a single soft metal mainly because an alloy:

- (A) makes the coin equal in worth to solid gold
- (B) lets the coin be safely eaten if needed
- (C) allows the coin to be printed like paper
- (D) makes the coin harder and more durable, so it survives years of handling

29. On an Indian coin, the side bearing the main design or emblem is the obverse and the other side is the reverse. If a coin shows the national emblem on one face and its denomination on the other, the emblem side is the:

- (A) reverse, the 'tails' side
- (B) obverse, the main 'heads' side
- (C) edge of the coin
- (D) rim where the value is stamped

30. A coin is described as legal tender. The most accurate meaning is that the coin:

- (A) must, by law, be accepted to settle payments within the country
- (B) may be refused by any shopkeeper who dislikes it
- (C) is valid only in foreign countries
- (D) is guaranteed to be made of pure gold

31. Paper currency began in China and only much later spread elsewhere, including India. A key advantage paper notes offered over heavy metal coins was that notes were:

- (A) lighter and easier to carry in large amounts, improving portability
- (B) made of more precious material than coins
- (C) impossible to ever lose or damage
- (D) valuable because the paper itself was rare and costly

32. Today, who alone is responsible for issuing paper currency in India, and what does this ensure?

- (A) each state government, ensuring different notes in every state
- (B) individual banks, ensuring every bank prints its own notes
- (C) shopkeepers, ensuring notes are made locally as needed
- (D) the Reserve Bank of India issues it, ensuring the notes are trusted and uniformly backed

33. A cheque is best described as:

- (A) a new kind of currency printed by shopkeepers
- (B) a coin made of paper instead of metal
- (C) a written instruction telling a bank to pay a stated amount from the writer's account to a named person
- (D) a form of barter using documents instead of goods

- 34.** How does paying a distant supplier by a bank cheque differ most clearly from paying by handing over cash?
- (A) the cheque is a brand-new currency unrelated to rupees
 - (B) the cheque turns the payment into a barter of paper
 - (C) the cheque makes the rupees worth more than the cash would
 - (D) the cheque instructs the bank to move money between accounts instead of physical notes passing directly between hands
- 35.** A debit card and a credit card both let a shopper pay without cash, but they differ because a debit card:
- (A) creates brand-new rupees each time it is tapped
 - (B) is a form of barter, while a credit card is real money
 - (C) works only abroad, while a credit card works only at home
 - (D) draws money the holder already has in their bank account, while a credit card borrows money to be repaid later
- 36.** Paying a shop by scanning its QR code through a UPI app is best understood as:
- (A) a brand-new currency created at the moment of payment
 - (B) barter, because no physical cash is touched
 - (C) a method of transferring the same rupees electronically between bank accounts
 - (D) the minting of new digital coins by the phone
- 37.** A friend claims, 'When I pay by UPI, the bank invents fresh money out of nothing.' The best correction is that UPI:
- (A) prints new banknotes inside the phone
 - (B) replaces the rupees with gold during the transfer
 - (C) converts the payment into a barter of digital goods
 - (D) simply shifts rupees that already exist from one account to another
- 38.** Which statement correctly contrasts cash payment with digital payment?
- (A) cash is real money while digital payment is barter
 - (B) digital payment uses a different currency from cash
 - (C) both transfer the same rupees, but cash passes physical notes while digital payment moves account balances electronically
 - (D) cash creates new money while digital payment destroys it
- 39.** Why are UPI and card payments described as a new method of paying rather than a new kind of money?
- (A) they each carry their own separate currency unlike the rupee
 - (B) they only move the existing national currency, the rupee, between accounts in a faster electronic way
 - (C) they turn rupees into precious metal at the moment of payment
 - (D) they bring back barter by avoiding the use of any money

40. When a person deposits savings in a bank, the most accurate description of what the bank does is that it:

- (A) keeps the money safe, may pay interest, and lends part of it to others while the depositor can withdraw when needed
- (B) exchanges the savings directly for goods through barter
- (C) melts the deposited notes into precious metal
- (D) prints new currency equal to the amount deposited

41. Suppose a village suddenly had no banks at all. Which everyday activity would become hardest as a direct result?

- (A) growing crops in the fields each season
- (B) walking from one house to another in the village
- (C) safely storing savings and making digital transfers, since these depend on bank accounts
- (D) speaking the local language with neighbours

42. A small shopkeeper accepts UPI, gives change in coins, and banks his daily takings each evening. Banks help his business mainly by:

- (A) manufacturing the coins he gives as change
- (B) keeping his money safe and enabling electronic payments and transfers between accounts
- (C) setting the prices of the goods he sells
- (D) deciding which customers he is allowed to serve

43. Why does keeping a large amount of money in a bank account, rather than as cash under a mattress, make modern payments easier?

- (A) money in an account turns into gold automatically
- (B) money in an account can be sent electronically by cheque, card, or UPI to anyone with an account
- (C) money in an account multiplies faster than cash
- (D) money in an account becomes a different currency

44. Which sequence shows the evolution of payment from earliest to most recent?

- (A) metal coins, then barter, then digital payments, then paper currency
- (B) digital payments, then paper currency, then commodity money, then barter
- (C) barter, then commodity money, then metal coins, then paper currency, then digital payments
- (D) paper currency, then metal coins, then barter, then commodity money

45. Commodity money such as cowrie shells fits into the timeline of money:

- (A) after barter but before metal coins
- (B) before barter, as the very first form of trade
- (C) after paper currency was introduced
- (D) at the same time as digital payments

- 46.** Which comparison between barter and a money economy is correct?
- (A) barter uses coins, while a money economy uses goods only
 - (B) barter needs no matching wants, while money requires them
 - (C) barter is faster than money for large, complex trades
 - (D) in barter goods are swapped directly, while in a money economy a widely accepted unit is used to buy and sell
- 47.** The overall historical story of money is best summed up as a movement:
- (A) from swapping goods directly towards more convenient, widely trusted tools of exchange
 - (B) from trusted modern money back to pure barter
 - (C) from digital payments back to heavy metal coins
 - (D) from paper notes back to cowrie shells
- 48.** Assertion (A): A torn 10-rupee note can still be worth far more than the paper it is printed on. Reason (R): The note's value comes from public trust and the Reserve Bank's backing rather than its material. Choose the best option.
- (A) Both A and R are true, but R does not explain A
 - (B) A is true but R is false
 - (C) A is false but R is true
 - (D) Both A and R are true, and R correctly explains A
- 49.** Assertion (A): In pure barter a baker who wants cloth must find a weaver who happens to want bread. Reason (R): Barter needs a double coincidence of wants. Choose the best option.
- (A) Both A and R are true, but R does not explain A
 - (B) A is true but R is false
 - (C) Both A and R are true, and R correctly explains A
 - (D) A is false but R is true
- 50.** Assertion (A): Paying by UPI does not change how many rupees exist in the country. Reason (R): UPI creates entirely new money each time a payment is made. Choose the best option.
- (A) Both A and R are true, and R explains A
 - (B) Both A and R are true, but R does not explain A
 - (C) A is false but R is true
 - (D) A is true but R is false
- 51.** Assertion (A): A modern coin is valuable even if the metal in it is worth less than its face value. Reason (R): Modern coins are fiat money, valued through legal-tender status and trust. Choose the best option.
- (A) Both A and R are true, and R correctly explains A
 - (B) Both A and R are true, but R does not explain A
 - (C) A is true but R is false
 - (D) A is false but R is true

52. A student writes three claims: (i) barter has no money, (ii) money came before barter, (iii) a note's value comes from trust and RBI backing. Which combination is entirely correct?

- (A) (i) and (ii) only
- (B) (ii) and (iii) only
- (C) (i) and (iii) only
- (D) all three

53. A trader laments three things about barter: he cannot find someone who wants his fish; he cannot agree how many fish equal one knife; and his fish rot quickly. These three complaints correspond, in order, to:

- (A) poor store of value; no double coincidence of wants; indivisibility
- (B) indivisibility; portability; durability
- (C) no double coincidence of wants; no common measure of value; poor store of value
- (D) no common measure of value; double coincidence of wants; portability

54. Four people each make one statement. Who is correct? - P: 'Barter still happens in some places even today.' Q: 'A note is worth its weight in gold.' R: 'UPI is a new currency.' S: 'Money was invented before barter.'

- (A) Q
- (B) P
- (C) R
- (D) S

55. A class is asked to give the BEST single reason money replaced barter as the main way to trade. The strongest answer is that money:

- (A) is always made of precious metal that never loses value
- (B) lets people stop producing goods altogether
- (C) is widely accepted and acts as a common measure and store of value, removing the need for a perfect match of wants
- (D) forces every trader to want the same single product

56. Reflecting on the whole chapter, which statement is the most complete and accurate summary?

- (A) money has always existed, is valuable only as precious metal, and UPI is a separate new currency
- (B) barter is identical to using money, and a note's value lies in its paper
- (C) trade moved from barter to commodity money to coins to paper to digital payments, and today's money is valued by trust and Reserve Bank backing while UPI and cards just move the same rupees
- (D) digital payments came first, followed by barter, and notes are worth their weight in gold

57. A demand draft is sometimes preferred over a personal cheque when paying a stranger because a demand draft:

- (A) is a new currency accepted only between strangers
- (B) is prepaid at the bank, so the money is guaranteed to be available unlike a cheque that might bounce
- (C) turns the payment into a barter of bank papers
- (D) creates extra rupees that the cheque cannot

58. A 1-rupee coin and a 2,000-rupee note are both legal tender in India. The best statement about why both can be used to pay is that:

- (A) the coin contains exactly 1 rupee of metal and the note 2,000 rupees of paper
- (B) both are issued or authorised under the national monetary system and are accepted by law and trust, regardless of the material's worth
- (C) only the heavier of the two can legally settle a payment
- (D) the note is barter while the coin is real money

59. If suddenly no one trusted the country's banknotes any more, the most likely immediate consequence would be that:

- (A) the paper of the notes would instantly become precious metal
- (B) people would hesitate to accept the notes, and trade using them would break down
- (C) the notes would automatically be worth more than before
- (D) barter would become impossible everywhere at once

60. Which pair correctly matches a money feature to the barter problem it overcomes?

- (A) wide acceptance overcomes the lack of a double coincidence of wants
- (B) perishability overcomes the lack of a common measure of value
- (C) indivisibility overcomes the storage problem
- (D) heaviness overcomes the portability problem

Solutions — Social Science (Class 7), Chapter 11: From Barter to Money — Paper 3

Paper 3 — (progressively harder)

Marking: +4 correct, –1 wrong, 0 unattempted. Maximum marks **240**.

Answer Key

Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans
1	D	11	D	21	C	31	A	41	C	51	A
2	A	12	A	22	D	32	D	42	B	52	C
3	A	13	A	23	D	33	C	43	B	53	C
4	B	14	B	24	C	34	D	44	C	54	B
5	D	15	A	25	A	35	D	45	A	55	C
6	A	16	B	26	C	36	C	46	D	56	C
7	B	17	C	27	B	37	D	47	A	57	B
8	C	18	D	28	D	38	C	48	D	58	B
9	B	19	A	29	B	39	B	49	C	59	B
10	D	20	B	30	A	40	A	50	D	60	A

Answer-key distribution: A = 15, B = 15, C = 15, D = 15.

Worked Solutions

1. (D) Barter is defined by goods or services being swapped directly for one another with no money involved at all. The location of the exchange, the relative weight of the items, and the occupations of the traders are irrelevant; an identical fair purchase paid for with rupees would not be barter. The only decisive fact is the complete absence of money from the transaction.

2. (A) Barter requires goods-for-goods with money entirely absent, which fits only the book-for-pen swap. Brij's deal uses a note, so money is present; receiving change does not turn it into barter. Cyrus's QR payment simply moves rupees electronically, so money is still involved. That all three end with a pen is irrelevant to whether money was used.

3. (A) The defining test of barter is that no money is involved; the shopkeeper's goods are priced in rupees and paid for in money, even if payment is delayed, so they are money transactions. Barter is not restricted by location or by the number of people, and deferred payment is a normal, lawful money arrangement rather than something illegal.

4. (B) Barter only works when each trader wants exactly what the other offers at the same time, which is the double coincidence of wants; finding such a perfect match is the core difficulty here. Inflation concerns rising prices in a money economy, durability is an advantage rather than an obstacle, and a coin shortage is irrelevant because no money is being used in barter.

5. (D) Money is accepted by all, so the fisherman converts fish into money with any buyer and then uses that money to buy sandals, breaking the requirement that the sandal-maker personally wants fish. Money does not change anyone's tastes, and while it sidesteps spoilage and divisibility issues, the precise problem here is the missing match of wants, which universal acceptability solves.

6. (A) A double-coincidence failure is precisely when each party wants something the other does not have to offer, as with the stool-for-medicine mismatch. Uncertainty over how many sacks equal a goat is a lack of a common measure of value, rotting tomatoes is a storage/durability problem, and an indivisible cow is an indivisibility problem; each is a different barter defect.

7. (B) Without an agreed yardstick of value, traders cannot settle how much one good is worth in terms of another, which is exactly the dispute here. Both herders do want each other's goods, so the wants coincide; the sheep's perishability and the carrying of dates are not what the argument is about, so portability and durability are not the issue.

8. (C) A common measure lets each item carry a single price in one unit, so any two goods can be compared at a glance instead of negotiating a separate ratio for every pair. It does not equalise weights, change what people want, or preserve perishables; those describe unrelated barter problems.

9. (B) This is an indivisibility problem: a living cow cannot be cut into a fraction equal to three sacks, so small trades fail. There is clearly demand for rice, inflation is a money-economy idea not relevant to a single swap, and the weight of rice is not what blocks the deal.

10. (D) Value stored in perishable guavas is lost as they spoil, so they fail as a store of value, unlike durable money. Easy divisibility would be an advantage rather than a weakness, the double-coincidence problem concerns matching wants rather than spoilage, and perishable fruit is certainly not legal tender.

11. (D) Money holds value reliably over time because it neither perishes nor needs feeding, and it can be stored and split as required. It cannot be eaten, does not grow by itself merely from being kept, and performs no farm labour; those are misplaced expectations imported from thinking of cattle as wealth.

12. (A) Commodity money is everyday goods that double as a medium of exchange, which is exactly what grain, cattle, salt, and cowries were. Fiat money has value by law and trust

rather than usefulness, digital money is electronic, and central-bank-issued legal tender is modern currency; none fits these tangible early goods.

13. (A) Historically people bartered first, and money emerged afterwards precisely to overcome barter's difficulties such as the double coincidence of wants and the lack of a common measure. Money did not precede barter, the two did not begin together, and barter's real problems are exactly why money was needed.

14. (B) Money arrived after an earlier era of barter, as a remedy for problems like mismatched wants; it was not present from the start. Digital payment is the most recent stage, coins cannot predate their makers, and paper currency is later still, so none of those alternatives is correct.

15. (A) A modern note's value rests on shared trust and the backing of the Reserve Bank of India, not on the material it is printed on. The paper is ordinary, the ink is not worth the note's face value, and colour is merely a design and security feature, so none of those gives the note its worth.

16. (B) Banknote paper is inexpensive, so value cannot come from the material; it comes from trust and the central bank standing behind it. The paper is not gold, the note's accepted value far exceeds any scrap-paper price, and weight has nothing to do with what it can buy.

17. (C) The promise and the Governor's signature show that the Reserve Bank guarantees the note, and this institutional backing is what underpins public trust in it. It does not entitle the holder to gold at a shop, does not create a debt the bearer owes, and the paper holds no hidden treasure.

18. (D) Fiat money is valuable through legal-tender status and trust rather than through any precious substance, which is exactly how the modern note works. The note holds no silver, cannot be melted for metal, and its worth is not the printing cost; those describe commodity-money thinking that does not apply.

19. (A) Using money right now to obtain goods is money acting as a medium of exchange. Storing value refers to keeping wealth for later, deferred payment refers to settling debts in the future, and a measure of value is about pricing rather than the act of paying; here the money is actively changing hands for goods.

20. (B) Holding money to preserve purchasing power for the future is the store-of-value function. It is not being used to buy anything now (medium of exchange), is not pricing goods (measure of value), and no future debt is being settled (deferred payment); it is simply being kept.

21. (C) Expressing the worth of different goods in one unit so they can be compared is the common-measure-of-value function. No payment is being made (medium of exchange), no

wealth is being kept for later (store of value), and no future repayment is set (deferred payment); the prices are simply being stated for comparison.

22. (D) Fixing a sum to be paid at a later date for goods already supplied is money serving as a standard of deferred payment. Payment is not immediate, no wealth is being stored away, and the function is not merely about comparing prices; it is about settling a future obligation in money.

23. (D) Buying now is the medium of exchange, saving for the future is the store of value, and pricing goods for comparison is the common measure of value, matching the order given. The other lists scramble these roles, attaching the wrong function to each described action.

24. (C) A medium of exchange is money actually changing hands to complete a purchase; merely writing a price for comparison is the measure-of-value function, not exchange. Paying a vendor with cash, tapping a card, and scanning a QR code to settle a fare all transfer money to obtain goods or services, so each is a medium of exchange.

25. (A) Coins solve barter's woes at once: they are easy to carry, can be split for small or large deals, last a long time, and everyone accepts them, so the herder is no longer tied to finding someone who wants a goat. Coins do not multiply like animals, need no feeding, and certainly do not change what buyers want.

26. (C) Stamping marks acted as a guarantee of the coin's metal content and genuineness, helping people accept it readily in exchange. The marks did not add weight or value, were not merely decorative, and stamping metal certainly does not convert it into paper money.

27. (B) Minting gives each coin a known, uniform weight and value, so trades are settled by simple counting and confidence rather than weighing every time. The metal itself need not be more valuable, coins are not food, and minting actually provides a common measure rather than removing the need for one.

28. (D) Mixing metals into an alloy gives a coin the toughness to withstand long use, supporting money's durability. An alloy does not make the coin worth solid gold, coins are not edible, and coins are struck from metal rather than printed like notes.

29. (B) The obverse is the principal face, traditionally the 'heads' side, which is where the main emblem appears. The reverse or 'tails' is the other face, and the edge and rim are the coin's sides, not the emblem-bearing face.

30. (A) Legal tender is money that the law requires to be accepted in settlement of payments inside the country. It cannot be lawfully refused for that purpose, it is the home country's money rather than foreign-only, and its legal-tender status has nothing to do with gold content.

31. (A) Paper notes let people carry large sums easily, a big gain in portability over bulky coins. Paper is far less precious than coin metal, notes can certainly be lost or torn, and the value rests on trust and backing rather than any costliness of the paper.

32. (D) A single central authority, the Reserve Bank of India, issues the country's paper currency, which keeps notes uniform and trustworthy nationwide. If states, ordinary banks, or shopkeepers printed their own notes, trust and uniformity would collapse, so those options are wrong.

33. (C) A cheque is a written order directing the bank to transfer a specified sum from one account to a named payee; it is a method of moving money, not money itself. It is not a currency, not a coin, and not barter, since rupees in a bank account are being moved rather than goods being swapped.

34. (D) A cheque directs the bank to transfer rupees from the payer's account to the payee's, whereas cash passes notes directly; both move the same rupees by different methods. The cheque is not a new currency, not barter, and does not change the value of the money being paid.

35. (D) A debit card spends the holder's own deposited money immediately, whereas a credit card lets them spend borrowed money repaid afterwards. Neither card creates new rupees, neither is barter, and the difference is about own-money versus borrowed-money, not domestic versus foreign use.

36. (C) UPI moves existing rupees electronically from the payer's account to the shop's, so it is a payment method, not new money. It creates no new currency, is not barter because money is plainly involved, and no coins are minted; the phone merely instructs the transfer.

37. (D) A UPI payment transfers pre-existing rupees between accounts rather than creating any new money. No notes are printed, no gold is involved, and it is not barter; the same money simply changes hands electronically.

38. (C) Cash and digital payments both move the identical rupees; the only difference is physical notes versus electronic account transfers. Digital payment is not barter, uses the same rupee, and neither method creates or destroys money - they only move it.

39. (B) These tools transfer the same rupees electronically, so they change how we pay, not what the money is. They do not introduce a separate currency, do not convert rupees into metal, and do not revive barter, since money is still firmly in use.

40. (A) A bank safeguards deposits, may pay interest, and lends out a portion to borrowers while letting depositors withdraw as required; this is its core role. It does not barter the money for goods, melt notes into metal, or print new currency - only the Reserve Bank issues currency.

41. (C) Banks underpin safe saving and account-to-account digital payments, so losing them would hit precisely those activities. Farming, walking about, and speaking a language do not depend on banks, so they would be unaffected; the link is specifically to handling and moving money.

42. (B) Banks store his takings securely and make account-based electronic payments possible, which is how they support his trade. Coins are produced by the mint, not banks; banks do not fix his prices; and they do not choose his customers, so those roles are misattributed.

43. (B) An account balance can be transferred instantly by cheque, card, or UPI, which is what makes electronic payment convenient. The money does not become gold, does not multiply merely by being in an account, and does not change into another currency; it stays as the same rupees, just easier to move.

44. (C) People first bartered, then used commodity money like grain and cowries, then minted metal coins, then printed paper currency, and most recently adopted digital payments - the order in the correct option. The others jumble these stages, placing later forms before earlier ones.

45. (A) Commodity money is the stage between pure barter and minted metal coins, easing barter's problems while coins were still to come. It did not precede barter, did not come after paper currency, and certainly was not contemporary with digital payments, which are the most recent form.

46. (D) Barter is the direct swap of goods, whereas a money economy uses an accepted unit for transactions; that contrast is accurate. Barter uses no coins, it is barter that needs a double coincidence of wants while money removes that need, and money makes large complex trades easier rather than slower.

47. (A) Money has steadily evolved from direct barter towards ever more convenient and trusted means of exchange, ending with digital payments. The other options reverse this progress, suggesting a return to barter, coins, or shells, which contradicts the actual direction of change.

48. (D) It is true that a note's accepted value far exceeds its cheap paper, and it is true that this worth flows from trust and central-bank backing; the second fact directly explains the first. Hence both are true and the reason genuinely accounts for the assertion, ruling out the options denying either statement or the link.

49. (C) The baker's predicament is true and arises precisely because barter demands that each trader want what the other offers, which is the double coincidence of wants; so the reason explains the assertion. Both statements are true and connected, eliminating the options that reject either or sever the link.

50. (D) It is true that UPI merely shifts existing rupees between accounts, leaving the total money unchanged, so the assertion holds. The reason is false because UPI creates no new money; it only transfers what already exists. With a true assertion and a false reason, the matching option is the correct choice.

51. (A) Modern coins do circulate at a face value above their metal worth, and this is because they are fiat money backed by law and trust; the reason explains the assertion. Both statements are true and linked, so the options denying either or disconnecting them are wrong.

52. (C) Barter involves no money, and a note's value rests on trust and Reserve Bank backing, so statements (i) and (iii) are correct. Statement (ii) is false because barter came first and money followed to solve its problems, so any combination including (ii) must be rejected.

53. (C) Failing to find a matching buyer is the double-coincidence problem, disagreeing on how many fish equal a knife is the lack of a common measure of value, and rotting fish is failure as a store of value - exactly the order listed. The other options pair the complaints with the wrong barter defects.

54. (B) Barter does survive in some places even in the money age, so P is right. A note is not worth gold (its value is trust-based), UPI is a payment method not a new currency, and money came after barter, so Q, R, and S all repeat classic misconceptions and are wrong.

55. (C) Money's universal acceptance, its role as a common measure of value, and its ability to store value together overcome barter's biggest hurdles, especially the double coincidence of wants - the best overall reason. Modern money is not precious metal, people still produce goods, and money does not dictate anyone's wants.

56. (C) The accurate summary traces the evolution from barter through commodity money, coins, and paper to digital payments, and notes that modern money is trust- and RBI-backed while UPI and cards merely move existing rupees. The other options revive the traps: that money predates barter or is only precious metal, that barter equals money or that paper itself is valuable, or that the evolution order is reversed.

57. (B) A demand draft is paid for in advance at the bank, so the funds are assured, which is why it is trusted between parties who do not know each other, unlike a cheque that could be dishonoured. It is not a new currency, not barter, and creates no extra money; it simply moves guaranteed rupees.

58. (B) Both the coin and the note are part of the country's money, accepted by law and public trust irrespective of how much their material is worth - that is what makes each usable. The metal and paper are not worth their face values, weight does not decide legal validity, and neither is barter; both are money.

59. (B) Because a note's value rests on trust, losing that trust means people stop accepting notes and money-based trade falters. The paper does not turn into metal, lost trust lowers rather than raises a note's usefulness, and barter would actually become more likely, not impossible, if money failed.

60. (A) Because money is accepted by everyone, a trader no longer needs to find someone wanting their exact goods, so wide acceptance cures the double-coincidence problem. Perishability, indivisibility, and heaviness are themselves barter drawbacks, not cures, so each of the other pairings is contradictory.